



Department of the Navy



Best Practices Handbook for the Management of Services Acquisitions

Fiscal Year 2024 Version



EXECUTIVE SUMMARY

The Department of Defense Instruction (DoDI) 5000.74, Defense Acquisition of Services, and the Secretary of the Navy's Instruction (SECNAVINST) 5000.2G, Enclosure 8, provide a broad framework within which each Budget Submitting Office (BSO), Program Executive Office (PEO), and Direct Reporting Program Manager (DRPM) can develop a Services Requirements Review Board (SRRB) process to assess risk and opportunities for contractual services requirements. The implementing instructions also facilitate processes for Services Acquisition Workshops (SAWs), Bridge Contract Reporting, Independent Management Reviews, Services Acquisition Training, Product and Service Codes (PSCs) and Object Class Codes (OCCs), and Category Management (CM).

The Department of the Navy (DON) Best Practices Handbook for Services Acquisitions supplements the implementing instructions and other DON Senior Services Manager (SSM) policy memoranda with additional information that the Deputy Assistant Secretary of the Navy for Procurement (DASN (P))/Services Acquisition and Category Management Division has been able to glean from DON Contractual Services Working Group (CSWG) meetings, and its review of the various Heads of Contracting Activities (HCAs) through the Procurement Performance Management Assessment Program (PPMAP), Naval Inspector General (NAVINSGEN), and Services Acquisition Review and Training (SART) events.

The DON CSWG was formed in May 2014, and formally chartered in November 2019 to make recommendations to the DON SSM and implement process improvements throughout the DON Services Acquisition enterprise. As such, the CSWG will capture, review, and share data and lessons learned to facilitate process improvements in the oversight, management and execution of contractual services initiatives across the DON.

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SERVICES ACQUISITION STRATEGIC PLANNING & PORTFOLIO MANAGEMENT

DON Services Acquisition Community Mission

Provide superior mission support through informed senior leadership, multifunctional teams and portfolio managers that produce responsive, cost-effective and mission-focused solutions for the men and women of the Navy and Marine Corps and give them a warfighting edge over our adversaries.



The foundation of any DON mission support organization is a set of values that ground and focus them on supporting the Sailors and Marines who are protecting and serving our nation.

DON Services Acquisition is a team sport. It requires us to be innovative and holistic in our thought. The DON Services Acquisition community must have professional and technical excellence to deliver mission and combat support.

While portfolio management within the Services Acquisition community was originally centralized at the DASN(P) level over ten years ago, it has since been decentralized to various requirements and contracting activities. It now may include a wide variety of stakeholders under various roles and job titles such as commanders, other senior leaders and their staffs, Program Managers (PMs)/Functional Services Managers (FSMs), Category Management Analysts, Contractual Services Managers, Financial Managers, Small Business Representatives, Competition Advocates, and Contracting Officers and other contract specialists.

One of DASN(P)'s strategic objectives is supporting on-going portfolio management efforts. The key to successfully performing portfolio management are the five phases shown above, which will be discussed individually in the sections that follow.



DON SERVICES ACQUISITION STRATEGIC PLANNING

PLAN PHASE

Each fiscal year, the DON SSM and the DASN(P)/Services Acquisition (SA) & CM Division engage in a strategic planning process that considers the political climate, changing policy, fiscal realities, and progress toward prior-year goals. These factors influence the strategic objectives that drive the direction of DASN(P)/SA & CM Division along with the activities of the DON CSWG.

Key initiatives are developed that support the strategic goals and objectives, and may include (1) development of related policies, guidance, and tools; (2) more rigorous oversight; or (3) spend targets in relation to key criterion (i.e., Category Management, Small Business participation, selected PSCs/OCCs that require heightened management attention, such as Advisory & Assistance Services, etc.). The process is completed annually, although major changes in any of the initiatives may have a ripple effect or even unintended consequences on other strategic goals, objectives and initiatives that may lead to course corrections.

Continuous DON Services Acquisition strategic objectives are identified below:

- **Improve Services Acquisition Costs/Performance**
 - Improve requirements definition
 - Improve market research
 - Improve use of optimal contract types
 - Increase competition
 - Reduce transaction costs (e.g., work hours, number of people)
 - Provide better pre-award, procurement package tools (e.g., Performance Work Statement templates and tools, portals, etc.)
 - Provide SRRB software process tools and Services Acquisition business intelligence tools
 - Provide strategic management of DON services spend (leverage services spend across the DON, DoD, and Federal enterprise)
 - Identify demand management opportunities
- **Improve Schedule and Performance**
 - Improve use of appropriate contractor skill sets vis-à-vis requirements
 - Improve acquisition planning
 - Reduce bridge contract actions and bridge contract spend
 - Reassess required reports, data calls, and notifications
 - Improve quantity and quality of contractor evaluations (such as through the Contractor Performance Assessment Rating System (CPARS))
- **Increase Transparency and Efficiencies across the Services Lifecycle**
 - Increase scope and effectiveness of Category Management
 - Optimize socio-economic spend, especially those credits that overlap with Category Management
 - Improve Services Acquisition portfolio management and validation (e.g., SRRBs, etc.)
 - Apply uniform services spend taxonomy (i.e., use of Federal Categories)

The scope of DON Services Acquisition strategic planning has expanded from 2012 into the current decade. Until 2020, emphasis was primarily on implementing formal SRRB policies and procedures to facilitate oversight and execution of contractual services. With the new SECNAVINST 5000.2G, Enclosure 8, DASN(P)/SA & CM Division strategic objectives have expanded to include:

- Re-implement the SART program with renewed focus on BSOs to better satisfy Title 10, Section 4501 and 4502 oversight requirements; Continue to leverage the PPMAP for HCA reviews
- Meet DON annual goals for Category Management, in particular, Spend Under Management (SUM)
- Implement latest revision of key DoDI initiatives (i.e., bridge contract reporting and Independent Management Reviews); integrate with PPMAP and SART visits
- Promote creation of a Program Manager/Functional Services Manager (PM/FSM) training credential in collaboration with the Office of the Secretary of Defense (OSD), Defense Acquisition University (DAU) and the other Military Department (MILDEP) SSMs
- Continue to work with stakeholders on ad hoc working groups and taskings

Strategic Planning Metrics. Key metrics are developed on an annual basis during the strategic planning process to provide a framework for measuring overall performance as well as individual portfolio performance. Currently, metrics are “backwards-looking” and use contract data reports pulled from the System for Award Management (SAM.gov) Data Bank as well as the Federal Procurement Data System (FPDS) for information on individual contract awards. Metrics are used by portfolio managers for analysis and communications. Measurements against those metrics are performed periodically, or in support of specific events/briefings.



Current SAM.gov and FPDS data may be used in conjunction with pivot tables to compare against other data (e.g., spend, portfolio, major command, etc.). Metrics may eventually be used in near real-time to populate not only reports and briefings, but online portfolio dashboards such as in Advana, DoD’s unified platform designed for mission owners, analysts, and data scientists.

Current primary metrics for the DASN(P) SA & CM Division include the following:

- Cumulative Service Obligations
 - Monthly and 3-Year Trend, DON
 - Monthly and 3-Year Trend, DON BSO
 - Monthly and 3-year Trend, DON Services Acquisition Portfolio
- Category Management
 - Tier 3 (Best-in-Class (BIC)/Federal enterprise solution) spend
 - Tier 2 (Multi-agency enterprise solution) spend
 - Tier 1 (DON enterprise solution) spend
 - Tier 0 (Contracts lacking the necessary strategy to meet Tier 1, 2, or 3 criteria) spend
- Bridge Contracts
 - 4-Year Trend, DON
 - Quarterly, Fiscal Year to Date, and 2-Year Trend spend by DON BSO
 - Quarterly, Fiscal Year to Date, and 2-Year trend contract actions by DON BSO

The DASN(P) SA & CM Division also takes a closer look at the metrics for HCA and BSO portfolios during PPMAP, NAVINSGEN, SART events, and IMRs. Those metrics include, but are not limited to the following:

- New Contract Awards
- Extent Competed
- Contract Type
- Number of One-Bid Offers
- Small Business Spend
- Budget and Obligation Trends

Strategic Planning Forecast. In February 2016, the Government Accountability Office (GAO) found that the DoD's budget exhibits provided limited visibility into projected spending on Services Acquisitions because DoD is not required to include data on projected spending on contracted services beyond the current budget fiscal year (Reference: GAO-16-119).

That GAO finding was followed in August 2017 with a GAO recommendation to better align the SRRB process with DoD's budgeting process (Reference: GAO-17-482). In May 2022, the GAO included the lack of an action plan for projected spending on Services Acquisition on its High-Risk Assessment (Reference: GAO-22-105301).

What remains to be done? The DON should expect additional Congressional attention to this high-risk area in future editions of the National Defense Authorization Act (NDAA) and in future GAO audits. As of Fiscal Year 2023, several GAO recommendations related to this high-risk area have either not been implemented or had been partially met by the DoD. In the most recent GAO audit completed in September 2023, there were no recommendations for DON, but two for the Under Secretary of the Defense (Comptroller) (USD(C)), two for the Department of the Air Force, and one for the Department of the Army. (Reference: GAO-23-106123).

Notable comments about the DON Services Acquisition program included the following:

- *... only one of the three military departments has a senior official, such as the Senior Services Manager, that aggregates and reviews data on services requirements with a value of at least \$10 million to facilitate more comprehensive reviews across a military department or DoD-wide. Specifically the Navy Senior Services Manager, aggregates and reviews such data. The Navy Senior Services Manager*

provided an example where this review enabled the Navy to consolidate multiple requirements for professional services under one enterprise-wide contract. Navy officials told us this saved resources by not having multiple major commands taking the time to award contracts for the same services, which can free up funding to spend on higher priorities, such as acquiring ships and aircraft.

- *While we found that the Under Secretary of Defense for Acquisition & Sustainment and Navy Senior Services Manager are aggregating data to facilitate more comprehensive reviews of services requirements, the same approach is not being leveraged by the Air Force and Army.*

Under section 817 of the NDAA for Fiscal Year 2020, amending Title 10 U.S.C. Section 4506, the USD(C) and the Cost Assessment and Program Evaluation (CAPE) have responsibility for budget planning for service contracts. USD(C) and CAPE are responsible for providing guidance each year, known as the Integrated Program and Budget Guidance, to prepare the annual budget submission. As part of its Fiscal Year 2023 and 2024 Integrated Program and Budget Guidance, USD(C) and CAPE included the forecasting requirement and identified a new budget exhibit for service contracts known as the Contracted Services-1 (CS-1) to include the preceding two fiscal years, the current budget year, **and the subsequent four fiscal years.** In prior budget exhibits DoD provided service contract spending estimates for the preceding two fiscal years and budget needs for the current budget year.

Future Budget Expectations. One of DON's financial goals in future budget years will be to gradually reduce program management support, primarily knowledge-based services in order to free up funding for additional weapons systems to include operations and sustainment.

IMPLEMENTATION THROUGH THE PORTFOLIO MANAGEMENT PROCESS



ANALYZE PHASE

After strategic planning, the analyze phase may consist of any of a number of different analyses and supporting activities, including:

- Data Management
- Spend Analysis
- Data Analysis
- Market Analysis

- Opportunity Assessment
- Trend Analysis

These activities support other phases of portfolio management, and in turn may include the outputs of other phases.

Data Management. The DASN(P)/SA & CM Division, along with the DON Category Management Program Office (CMPO), support data analysis efforts, including the spend analyses conducted by portfolio managers at all Navy/Marine Corps BSOs, PEOs, and DRPMs.

Spend Analysis. Spend analysis is the process of aggregating, classifying, and leveraging spend data for the purpose of gaining visibility into cost reduction, performance improvement, and contract compliance opportunities. It may be accomplished at various levels and degrees, depending on the requirement for the spend analysis. In support of the DON CM process, for example, a high-level organization-wide analysis is conducted initially to identify potential opportunities. Once an opportunity is identified, a much more detailed spend profile is completed.

Spend analyses play a critical role in Services Acquisition as they provide transparent, powerful information that portfolio managers can use to assist in identifying potential opportunities and for making CM decisions. A portfolio manager relies on spend analyses to evaluate spend patterns in order to identify what the organization is buying, how they are buying it, and which suppliers they are buying it from. Over time, the reports will begin to show trends. This knowledge and understanding can identify results from strategic decision-making and enables organizations to improve their approaches to sourcing services.

A spend analysis assess the breakdown of spend in terms of:

- Who did the buying?
- Who did the spending?
- How much was spent?
- What type of contract award was used?
- What type of contract was used?

Data Analysis. Data analysis is the process of inspecting, cleaning, transforming, and modeling data with the goal of highlighting useful information, suggesting conclusions, and supporting decision-making.

FPDS is the primary source of data used by portfolio managers with reports being run via SAM.gov Data Services. At a minimum, a standard fiscal year dataset will be pulled. Additional datasets may also be pulled periodically to support ongoing analysis. However, a portfolio manager should be familiar with the data and reporting features to be able to access and analyze key services acquisition data in support of portfolio needs. The data should be inspected for flaws, gaps, and inconsistencies.

There are numerous tools that support data analysis. For example, as a data set is pulled in an MS Excel spreadsheet, a portfolio manager may use filters or pivot tables to calculate, summarize, and analyze data that lets one see comparisons, patterns, and trends. Software products such as Tableau have been used to help portfolio managers to see and understand their data, and help them to solve problems. Weighted sum models that incorporate weighted criterion to evaluate services contracting actions may also be used. It may allow for dynamic scoring and weighting to quickly identify focus areas within a large dataset that require additional attention and opportunities for improvement.



Market Analysis. Because a portfolio manager is expected to be the subject matter experts for assigned portfolios, they must develop and maintain an understanding of the associated supplier market for the range of services within their portfolio. A market analysis is a tool to identify supply and demand levers, new suppliers, and buyer's leverage.

A portfolio manager should develop market profiles for the portfolio starting with the PSCs with the predominant spend. A market profile should answer the following questions:

- How does the commercial market segment the services beyond the DON sub-portfolio groupings?
- How does the industry sell this service?
- Who are the major suppliers that represent this market segment and what is their market share?
- What does the supply chain map look like?
- How many suppliers for market segment are registered as small businesses?
- What is the Government's market share as a customer/buyer?
- What are the predominant contract types within the DON at the PSC level, and what predominant contract structure does industry use?
- What trade, legal, political, and other issues affect the market?

What are the cost drivers (e.g., what percentage of direct labor cost makes up the price)?

- Are there ways to obtain relevant pricing data for the labor cost and geographical location?
- What are the applicable industry standards and regulations (e.g., insurance, certifications, and licenses)?
- What is the industry revenue trend over the last three years?
- What contracting vehicles and portals are used?

Some contractual services may be tied to the Total Cost of Ownership associated with a weapons system or other equipment asset beyond the initial purchase price. Examples include service contracts for maintenance, training, and security.

Opportunity Assessment. During analyses conducted by the Portfolio Manager, opportunities for improvements in services acquisition may become evident. The opportunities assessment is a high-level

process to assess and prioritize opportunities based on an organization-wide spend analysis. These opportunity assessments feed the Category Management process by providing a big picture view to the organization of what is being purchased and where. Information on Category Management processes are available by contacting the DON CMPO at usn.mechanicsburg.navsuphqmech.mbx.doncmppo-solutions@us.navy.mil.

Trend Analysis. Trend Analysis is the practice of collecting and assessing information to identify trends in the information.

During analyses, reviews and assessments conducted by a portfolio manager, the portfolio manager may identify trends that point to systemic issues, problems or anomalies. A portfolio manager should collect information in a way that trends become more evident.

For example, a portfolio manager may choose to collect information regarding individual acquisition plan reviews in a spreadsheet as shown below. The table example shown below for Individual Streamlines Acquisition Plan with Services (ISTRAP-M) indicates that “Clear Outcomes,” that is a services acquisition which is either not performance-based or in which the outcomes are superficial or otherwise vague, is an issue for a majority of ISTRAP-Ms reviewed. This may possibly be improved by portfolio management process changes, which may include, but not be limited to improved planning, training, review and/or tool use.

Example: ISTRAP-M Reviews

ISTRAP-M >>>>	1	2	3	4	5
ISTRAP-M Element	Title: Acquisition Strategy A	Title: Acquisition Strategy B	Title: Acquisition Strategy C	Title: Acquisition Strategy D	Title: Acquisition Strategy E
Clear Outcomes	N	N	N	N	Y
Appropriate Length	N	Y	Y	Y	Y
Appropriate Contract Type	Y	Y	Y	Y	Y
Small Business adequately considered	Y	Y	N	Y	Y
Appropriate Incentives	Y	Y	Y	Y	Y
Appropriate competition	Y	Y	Y	Y	Y
Sufficient Timeline for award	Y	N	Y	N	Y
Covers all required elements	Y	Y	Y	Y	Y
Sufficient detail	Y	Y	Y	Y	Y
Date Reviewed	1/1/2012	2/8/2012	3/28/2012	4/2/2012	4/18/2012

Business Intelligence Reports (BIRs) are pre-decisional, analysis products (sometimes produced with the assistance of the DON CMPO) developed through a comprehensive requirement-focused process that leverages industry best practices and benchmarks to identify improvement opportunities across management strategies, cost, process, performance and data.

During a BIR, targeted analysis includes:

- Internal cost and performance benchmarks
- Evolving mission needs
- Challenges with current strategies
- Industry standard requirements and best practices
- Industry trends and emerging technologies
- Best-in-Class (BIC) cost and performance benchmarks





EXECUTE PHASE

The Execute Phase consists of any activity in support of the execution of individual or collective contracting actions. The activities may include:

- Advising requirements owners and acquisition teams
- Documentation reviews
- Independent Management Reviews (IMRs)
- Policy development, execution, and oversight
- Data calls and inquiries

Advising Requirements Owners and Acquisition Teams. The primary role of a portfolio manager is to serve in an advisory role to the Services Acquisition community and their stakeholders. The advice provided by a portfolio manager may be on a routine basis, such as at regularly scheduled portfolio meetings, as a result of documentation review, or by participating in an IMR.

A portfolio manager is expected to be a subject matter expert on services acquisition in addition to their assigned portfolio. As such, advice may include providing insights into the market for a particular service, identifying potential contracting vehicles or Category Management opportunities, making recommendations regarding PSC assignments, identifying potential tools to support the services acquisition process, and providing lessons learned and best practices. Advice may be formal, such as via portfolio newsletters, blast emails to stakeholders, and reports, or may simply be a response to an email inquiry.

Documentation Reviews. In support of the execution of services acquisition, DASN(P) and CSWG members have a responsibility to review and approve certain acquisition documentation such as Individual Streamlined Acquisition Plans for Services (ISTRAP-M), Justification and Approvals (J&As), and Determination and Findings. Thresholds may vary according to Services Category (S-CAT) level.

The primary organization responsible for these documentation reviews within DASN(P) is the Program Analysis and Business Transformation (PABT) Division. The PABT Action Officers are aligned to HCAs and BSOs. When a services acquisition has documentation requiring PABT review, the PABT action officer determines the portfolio alignment and engages with the associated DASN(P)/Services Acquisition staff member/portfolio manager. The three primary subjects that DASN(P) Services Acquisition staff members review in the documentation are compliance with the DON Contractual Services Guidance with respect to:

- SRRBs
- Services Acquisition Workshops (SAWs)
- Category Management
- Produce and Service Code (PSC) selection

Independent Management Reviews (IMRs). Portfolio managers conduct IMRs periodically by portfolio managers on large service contracts, typically S-CAT I to S-CAT III. When conducted by the DASN(P) SA & CM Division, they are conducted during PPMAP, NAVINSGEN, SART events, and similar engagements, either in-person or virtually. It may also be conducted by HCA and BSO senior leadership and their portfolio managers.

The primary focus of IMRs are post-award outcomes for major contractual services actions which includes, but are not limited to, the following:

- Scope of work
- Points of contact/major stakeholders
- Overall status
- Financials
- Issues/risks/opportunities
- Significant modifications
- Contractor Performance Assessment Report (CPAR) ratings & justifications
- Lessons learned/best practices

Policy Development, Execution, and Oversight. Some portfolio managers may be required to:

- Support the development of policy relevant to their assigned portfolio
- Engage in the process of executing policy (e.g., reviewing waivers, recommending approvals or disapprovals, etc.)
- Monitor and oversee the execution of policy (i.e., ensuring compliance)

These activities may be conducted on a routine or as-needed basis, or may occur in conjunction with other responsibilities. In many cases, a portfolio manager will need to coordinate with the team responsible for contract policy.

Data Calls and Inquiries. A portfolio manager is typically assigned the responsibility of requesting data and other related inquiries in coordination with other teams. This involves researching the request, coordinating with other teams, engaging the relevant echelons, preparing a consolidated response for senior leader review and concurrence, and creating a formal response and associated staffing package. In addition, a portfolio manager is responsible for posting the final results in an appropriate location that is accessible by other team members, and coordinating with administrative staff for formal distribution, when appropriate.

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ASSESS PHASE



The Assess Phase consists of assessments conducted to review services acquisitions to ensure compliance with policy and directives, and / or to assess organizational performance. The assessments of a portfolio manager may participate in, or support, include:

- PPMAP, NAVINSGEN, and SART events
- SRRBs
- Measuring results

Each of the reviews/assessments identified above are distinguished from one another by the intent of the review, the participants involved, and the associated outcomes. However, each is intended to influence and improve the tradecraft of services acquisition.

Services Acquisition Review and Training (SART). SARTs, formerly known as services health assessments, are comprehensive reviews of the entire services acquisition process, from forming teams to executing strategies. They provide a centralized process to review portfolios that leverage the visibility to identify trends, risks and opportunities. SART assessments review how the acquisition team developed the requirement, how the acquisition strategy was developed, and how contracting decisions were made. Validation is accomplished by reviewing contracts and the artifacts of the process, and by interviewing members of the acquisition team and command leadership. SART assessments may focus on:

- Requirements definition
- Market research
- Contract administration
- Competition
- Contract type
- Policy execution

The outcomes of SARTs are the documentation of lessons learned and best practices in terms of business practices and team accomplishments, and may result in business or process changes designed to improve the tradecraft of services. The SART engagement initially establishes a baseline from a retrospective look at data, and uses that information to recommend potential actions. SART events are also used to evaluate acquisition processes and assess outcomes. Over time, senior leaders may be able to evaluate execution as an indicator of an in-control process as well as a predictor of the likelihood of acquisition success. Based on these assessments, senior leaders may adjust the thresholds of required approvals accordingly.

A portfolio manager's responsibilities with respect to SART events include:

1. Provide supporting information to the SART engagement lead (such as trend data, selected contract

details, and portfolio-specific data analysis)

2. Participate in selected SART engagements at the discretion of the SART engagement lead

Additionally, SART visits may be used to impact and define decision authority and limitations.

Procurement Performance Management Assessment Program (PPMAP) and Naval Inspector General (NAVINSGEN) events. The primary objectives of PPMAP and NAVINSGEN events is to encourage and assist contracting and requirements organizations in making continuous improvements in their acquisition processes. The PPMAP and NAVINSGEN processes designate Services Acquisition as a Special Interest Item (SII). The description of that SSI is as follows (Ref: DASN(P) Memorandum, “Department of the Navy Procurement Performance Management Assessment Program Special Interest Items for Fiscal Year 2022,” effective 26 August 2021):

PPMAPs are an assessment of contracting for supplies and services. The emphasis is on overall compliance based on a sampling of contracting actions. PPMAPs involve a historical view of acquisition data. They are not forward looking. The end result is a comprehensive report with ratings, noteworthy accomplishments, conditions that warrant management attention or corrective action, and assessments of risk.

On occasion, portfolio managers may be asked to participate in the PPMAP and NAVINSGEN assessment process, though this is not necessarily one of their primary responsibilities. However, they may use the results of PPMAPs and NAVINSGENs as an input to SART program engagements and trend analyses.

Services Requirements Review Boards (SRRBs). As per SECNAVINST 5000.2G, Enclosure 8, the SRRB process is intended to optimize and validate current and future Services Acquisition requirements. As further stipulated within the instruction, all Navy/Marine Corps BSOs, PEOs, and DRPMs are required to implement formal SRRB policies and procedures to facilitate and guide their oversight and execution of category services acquisition and category management for their respective activities and subordinate activities. Portfolio managers should be provided access to SRRB summary data and results, as another element of capturing issues and opportunities, and identifying trends.

Measuring Results. A key component of the strategic plan involves measuring results for evaluating and adjusting strategy. These measurements are evaluation checkpoints to measure operational results toward meeting strategic objectives. They should occur at regularly scheduled intervals and be specific enough to measure the elements of strategy implementation.

Measuring results allows organizations to consider performance and how the organization is improving upon them. The following types of questions may be asked:

- Is actual performance different than expected, and if so, how and why?
- How do performance results compare to those of other similar organizations (or industry standards) and why?
- Which performance gaps are most important to close?

Results are shared with stakeholders and decision-makers via periodic reports, meetings and reviews in order to communicate progress, enlist support, and drive organizational and acquisition improvements.

As DASN(P) develops expectations, goals and guidance regarding measurable results, portfolio managers will develop and monitor appropriate metrics to determine compliance with stakeholder expectations. Metric compliance data will inform DASN(P) processes, oversight and execution, including, but not limited to PPMAP

and NAVINSGEN assessments, SART program visits, policy development, data calls, and efficiency improvements. In addition, as metric compliance becomes more robust, this information will be provided to the SSM and senior leadership as part of the regular reports regarding HCA execution of Services Acquisition.



SHARE PHASE

The Share Phase consists of communicating among senior leadership, team members, and other internal and external stakeholders. There are many communication opportunities and methods; those most applicable to portfolio managers include:

- Periodic Reviews and Meetings
- Online Briefings and Other Resources
- Management Reports and Dashboards

Periodic Reviews and Meetings. In order for a portfolio managers to be effective, they must be engaged with key stakeholders, including requirements and contracting organizations, small business program offices, and individual Services Acquisition teams. Reviews and meetings may be regularly scheduled events or ad-hoc to meet the needs of a particular organization or procurement.

The primary intent of these communications include:

- Awareness – Who the key players are
- Information Sharing – Statistics, policy, guidance, lessons learned, best practices
- Input – Specific recommendations
- Interchange – Other roundtable discussions and sharing of ideas

Portfolio managers should use discretion when creating recurrent meetings and be mindful of the time constraints and potential inconveniences of the participants.

Online Briefings and Other Resources. Online briefings, including those conducted via Microsoft Teams, and other resources provide a simple and relatively low-tech means to communicate to a wide community. Portfolio managers may be required to support these communication efforts by developing briefings and articles that are designed to inform the Services Acquisition community on issues, concerns, or improvements. Community stakeholders should be encouraged to use websites and online portals. For example, the portal for the DON CMPO has an interim mailbox that supports market research questions, requests for training, and requests for data analysis (usn.mechanicsburg.navsuphqmech.mbx.doncmpo-solutions@us.navy.mil). Beyond the DON, the portal for the Defense Acquisition University's (DAU's) Services Acquisition Mall (SAM) (<https://www.dau.edu/tools/Documents/SAM/home.html>) and Acquisition Center of Excellence (ACE) for Services (<https://www.dau.edu/cop/ace/SitePages/About.aspx>) also offer an effective means to share portfolio information and guidance to a larger audience.

STRENGTHS, PROMISING PRACTICES, AND BEST PRACTICES (PPMAP)

IAW SECNAVINST 4200.37A, Organic Department of the Navy Procurement System Oversight and Management, and Navy Marine Corps Acquisition Regulation Supplement (NMCARS) 5201.691, the DON PPMAP is one of the key procurement management oversight methods used to validate sound contracting practices throughout the DON. Its objective is:

... to encourage and assist contracting organizations in making continuous improvements in all phases of their acquisition processes to ensure compliance; to provide a feedback system to contracting organizations, addressing strengths, material weaknesses, deficiencies, and significant findings; to increase/decrease the level of oversight provided based upon a contracting organization's proficiency, quality, and business considerations; and to leverage best practices/processes and "lessons learned" across the spectrum of DON contracting activities.¹

The DASN(P) Services Acquisition & Category Management Division uses responses to PPMAP, NAVINSGEN, and SART program self-assessment questions (see Appendices 1 and 2) and interviews as part of its review methodology as it seeks to foster operational efficiency and effectiveness. Commendable actions includes those that result from the use of a process, procedure, practice or resource in a manner that optimizes effective and efficient execution of procurement operations while complying with law, regulation and policy. When documenting the outcome of such actions, they are further classified by the positive effect on the execution of procurement operations, as follows:

1) **Strength:** A noteworthy process, procedure, or resource (e.g., business system), internal to the activity/organization, that exceeds standards established by law, regulation or policy for effective and efficient execution of procurement operations.

2) **Promising Practice:** A process, program, resource, activity or strategy within the activity/organization that shows the potential, during its early stages, for becoming a best practice with long-term sustainable impact. A promising practice must have some objective basis for claiming effectiveness, and may have the potential for replication among other organizations.

3) **Best Practice:** A method or technique that has consistently shown results superior to those achieved with other means, is used as a benchmark, and may be adopted as a standard way of doing work across multiple activities/organizations.

The purpose of this section is to share some of these noteworthy accomplishments among the DON Services Acquisition community. The community is encouraged to liaison directly with the Points of Contact (POCs) identified within this document to learn more about these selected best practices and lessons learned.

Any comments regarding the contents of this section, as well as recommendations for additional items to include can be sent to: seniorservicesmanage.fct@navy.mil.

¹ SECNAVINST 4200.37A, Enclosure (1), 14 May 2019

BEST PRACTICES (PPMAP)

TYPE: **Processes and policies**
APPLICABILITY: **Services Requirements Review Board (SRRB) processes**
HCA/CSWG POCs: **NAVSEA: Stacy McQuage, John Sullivan**

STRENGTHS:

- Mature, enterprise SRRB process that has the support and direct involvement of senior command leadership.
- Command instruction. Command recently updated its contractual services policy to reflect current DoD, DON, and command policy and practices. The policy includes services guidance on SRRB, Category Management, Contract Tripwires, and other contractual-services related matters.
- Command acquisition policy website. The site is accessible to all command personnel and is the command’s central repository for all current acquisition policy.

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TYPE: **Management Tool/Quality Assurance**
APPLICABILITY: **Complex/large dollar, Multiple Award Contracts (MAC), Indefinite Delivery Indefinite Quantity (IDIQ)**
HCA/CSWG POCs: **NAVSUP: Brandon Bucher, Ryan McGowan**

PROMISING PRACTICE:

- A robust husbanding task order management tool is used as the required software for all husbanding requirements executed off the global MAC. The tool contains safeguards to prevent fraud, provide greater management oversight, and ensure timely execution and contract closure.

STRENGTHS:

- Regulatory and procedural compliance is monitored through data populated in the management tool as well as comparing that data with Corrective Action Reports reported in SAM.gov.
- Stakeholder training is offered no less than quarterly.
- Centralization of all MAC services ordering within the command ensures proper oversight and compliance with all command ordering procedures and management controls.

.....

TYPE: **Contractual Services/General Practices**
APPLICABILITY: **SRRB processes, CM**
HCA/CSWG POCs: **NAVSUP: Brandon Bucher, Ryan McGowan**

BEST PRACTICES:

- HCA representatives participate on customer SRRBs; this facilitates aspects of acquisition strategy early in the process.
- Organization conducted a Continuous Process Improvement (CPI) Rapid Improvement Event (RIE) that led to significant reductions in bridge contracts.
- Command headquarters and subordinate organizations have implemented demand management procedures to help identify category management opportunities.

STRENGTHS:

- Command leadership promotes and endorses all manner of CM training; as such, the command workforce is better able to engage their customers on ways to achieve CM solutions.

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TYPE: Management processes

APPLICABILITY: SRRB processes

HCA/CSWG POCs: NAVWAR: Sherelle Lockhart, Eric Dang

BEST PRACTICE:

- NAVWAR created an internal CSWG to show the importance of Services Acquisition. This is a forum used to show best practices and discuss items of interest that impact Services Acquisition.

STRENGTHS:

- Pilot of Labor Rate Management Tool by command guidance – has the potential for improving how rates are managed across the command.

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TYPE: Management processes

APPLICABILITY: Category Management (CM)

HCA/CSWG POCs: NAVWAR: Sherelle Lockhart, Eric Dang

PROMISING PRACTICE:

- Command has a number of solid examples of CM implementation that may serve as great examples for the rest of the DON. The agency also has a Contracts Requirement Coordination Board that meets virtually on a situational basis.

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TYPE: Quality assurance

APPLICABILITY: Contracting Officer's Representatives (CORs)

HCA/CSWG POCs: NAVFAC: Donald White, Jack Collins

STRENGTH:

- CORs maintain well-documented electronic acquisition files that were over and above what was required in the Defense Federal Acquisition Regulation Supplement to include current and historical acquisition data such as all correspondence, training certificates, meeting minutes, status reports, invoices, and project development reports.

.....

TYPE: Management processes

APPLICABILITY: SRRB internal processes and data collection

HCA/CSWG POCs: NAVAIR: Heather Moore, Kevin Smith

BEST PRACTICE:

- NAVAIR integrates an internal, command-wide SRRB representative working group that meets monthly to discuss all SRRB and Category Management related topics. During these meetings, information is shared with the SRRB representatives from each command ensuring a constant flow of information both top to bottom and bottom to top. A library of SRRB and Category Management information is maintained in easily accessible Microsoft Teams channels.

PROMISING PRACTICE:

- NAVAIR utilizes the Acquisition Management System and Procurement Planning & Management Tools (AMS/PMT) dashboards to aggregate and review Services Acquisition data. The consolidation of data provides opportunities for senior leadership to identify efficiencies that can be used to free up funding for higher priorities.

STRENGTH:

- NAVAIR utilizes an internal SRRB Analysis and Approval Form (when not using the PMT SRRB Tool) with the required Section 815 certification statement that encompasses all the salient facts for requirements validation from the SRRB board chair and stakeholders.

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TOOLS AND TRAINING

DON CATEGORY MANAGEMENT PROGRAM OFFICE (CMPO)

The overall purpose of the DON CMPO is to broaden the application of Category Management to help the DON better understand its spend, improve market intelligence, increase the use of common contract solutions, and increase acquisition efficiency. Some of the services provided by the CMPO include:

- Category Management Advisory Services
- Data Analytics
- Category Management Training

SEAPORT

<https://www.seaport.navy.mil/>

SeaPort provides an efficient and effective means of contracting for professional support services and enhancing small business participation. Since FY 2001, SeaPort has generated contract actions with an estimated value of over \$62 billion. The follow-on contract to SeaPort-e, known as SeaPort Next Generation (NxG), was awarded to approximately 1,870 contractors in December 2018.

SeaPort is the DON's electronic platform for acquiring support services in 22 functional areas, including Engineering and Program Management (see SeaPort website or NMCARS Annex 22 for more details about engineering services and program management categories). The DON HCAs compete their service requirements among SeaPort IDIQ MAC holders. The SeaPort portal provides a standardized, efficient means of soliciting offers from among the diverse population of large and small businesses and their approved team members. All task orders are competitively solicited, awarded, and managed using the SeaPort platform unless one of the exceptions to fair opportunity applies. Since nearly 85% of its contract holders are small businesses, the SeaPort approach to acquiring services provides opportunities that fuels job and vendor base growth.

IAW NMCARS Subpart 5237.201, the consideration of using SeaPort to satisfy the requirements for the functional areas shown in NMCARS Annex 22 is mandatory with the following exceptions:

- Actions approved pursuant to authorities at FAR 6.302-1 through -7.
- Actions with values below the Simplified Acquisition Threshold.
- Actions set aside for 8(a) participants.
- Actions for Commercial Services under FAR Part 12 and FAR 8.4.
- Actions using Simplified Acquisition Procedures under Part 13.

The SeaPort website provides comprehensive information on processing and awarding task orders. It encompasses training information from both the Government and industry perspective on the execution of task orders. It also provides access to the individual web sites of the MAC holders, provides a sharing of information, success stories and lessons learned among Government activities and between the Government and industry.

ACQUISITION GATEWAY

<https://www.acquisitiongateway.gov/>

The Acquisition Gateway is a workspace created by the General Services Administration (GSA) for acquisition professionals and federal buyers to connect with resources, tools and each other to improve acquisition government-wide.

Some of the latest updates deployed on Acquisition Gateway to improve user experience include:

- Document Library. View and download over 950 acquisition samples and templates to learn best practices from acquisition professionals across government.
- Project Center. Create and share your acquisition package and projects with government-wide team members, create tasks underneath milestones, and link content to both tasks and milestones.
- Solutions Finder. Find over 300 government-wide contract solutions available to help meet procurement requirements.
- Contract-Awarded Labor Category. Conduct market research on professional service labor categories quickly and easily. Results shown are hourly rates awarded from GSA IDIQ service schedules.

ACQUISITION CENTER OF EXCELLENCE (ACE) FOR SERVICES COMMUNITY

[ACE for Services | www.dau.edu](http://www.dau.edu)

This site serves as a platform to connect Services Acquisition practitioners from across the community, including those in the non-Acquisition Workforce.

SERVICES ACQUISITION MALL (SAM) AND AUTOMATED REQUIREMENTS ROADMAP TOOL (ARRT) SUITE

[Service Acquisition Mall | www.dau.edu](http://www.dau.edu)

SAM is intended to help requiring activities create performance-based services acquisition requirements. SAM is based on the DoD seven step services acquisition process. It is also the home of the ARRT Suite, a collection of tools to help build strategic elements of acquisition documents by walking through structured process to help ask and answer the right questions related to the acquisition. SAM also provides usable tools and templates to create performance-based services acquisition requirements. Additionally, within SAM there are nine “Wings” that directly align to the SA Portfolio Groups, in accordance with DoDI 5000.74.

The ARRT Suite includes:

- ARRT Requirements Definition.
- ARRT Evaluation Factors that help develop source selection factors.
- ARRT Performance Assessment.
- ARRT Cost Estimation that helps create the Independent Government Cost Estimate.

TRAINING CREDENTIALS AND COURSES

DAU's new credentials program can provide responsive and timely learning experiences that individuals can self-select, to grow and deepen one's skills. By offering learning in smaller, more job-specific credentials, DAU aims to help DoD evolve beyond the 3-level certification framework

and more effectively meet the intent with the Defense Acquisition Workforce Improvement Act (DAWIA). DAU has created two training credentials for the Services Acquisition functional area. [Credentials | www.dau.edu](http://www.dau.edu/Credentials)

Those who are not members of the Defense Acquisition Workforce (DAW), but who have significant responsibilities in services acquisition (such as being a member of a multi-functional team in Services Acquisition or a Services Acquisition COR), are highly encouraged to complete the DAU credential CACQ 001, “Services Acquisition for Non-Acquisition Professional Team Members” or succeeding credential.

Members of the DAW with significant responsibilities in services acquisition (e.g., Program Managers, Functional Services Managers, CORs) are highly encouraged to obtain the DAU credential for CACQ 002, “Services Acquisition for Acquisition Professional Team Members” or succeeding credential. In addition to the credential for Services Acquisition Team Members, senior leaders of the DAW and Functional Services Managers (FSMs) with significant responsibilities in services acquisition are also highly encouraged to complete the DAU FSM credential(s) or services acquisition upper-level courses as they become available.

As additional best practices, it is recommended that all Services Acquisition community members consider taking DAU course, CON 0150, “Category Management Overview” and completing the Category Management and Small Business credentials through DAU’s Defense Acquisition Credential Program ([Credentials | www.dau.edu](http://www.dau.edu/Credentials))

CATEGORY MANAGEMENT (CM)

Mandatory Consideration Best Practices

In the Office of Management and Budget (OMB) memorandum M-19-13, “Category Management: Making Smarter Use of Common Contract Solutions and Practices,” federal spend is broken down according to nineteen broad categories based on their assigned Product and Service Code (PSC). There are ten categories included for common spend across the federal government, while nine are considered defense centric. The PSC crosswalk to all 19 categories can be found on the Defense Pricing and Contracting (DPC) website, DPC Product Service Code Selection Tool (psctool.us). The Department of the Air Force (DAF) also offers a PSC Selection Tool for comparison purposes on its website: <https://www.fscpsc.com>.

OMB memorandum M-19-13 also directs Federal agencies to reduce “Tier 0” contract spending for requirements falling within the ten categories of common spend. As such, it is a DON best practice that common contract solutions, particularly those contracts OMB designates with tiered status, shall have priority consideration. Additionally, tiered DON contracts shall have priority over the tiered contracts written by other agencies.

Thus, as part of acquisition planning, requirements owners and contracting officials should evaluate CM tiered solutions in accordance with OMB memorandum M-19-13 for all common requirements. This evaluation should be addressed in the acquisition planning documents. Supporting justification should be provided if establishing a new contract when a similar tiered solution exists. On a related note, procurements below the threshold of a formal acquisition strategy should also address the evaluation of CM tiered solutions in the contract file.

A complete inventory of federal-wide tiered contract solutions is available on the GSA Data-to-Decisions (D2D) portal at [D2D \(gsa.gov\)](https://d2d.gsa.gov) in the CM Reporting Workbench (CMR). Access to D2D requires registration, and logging into the OMB MAX website with your Common Access Card. The CMR offers the Award Exploration and the Contract Inventory Exploration Tool where you can filter by PSC and NAICS to assess the suitability of the tiered solution for the market research phase of the acquisition process.

The DON CMPO is available for market research assistance in locating tiered solutions and/or training on how to use the available tools. Contact them via their mailbox for assistance at usn.mechanicsburg.navsuphqmech.mbx.doncmpo-solutions@us.navy.mil.

SeaPort D&F Waiver Questions

When submitting the SeaPort Waiver Determination and Findings (D&F) for approval, the Head of Contracting Activity (HCA) should address the following questions within their request:

1. Is the waiver for a requirement which fits under the categories for Engineering Services or Program Management Services, or sub-categories, described in Navy Marine Corps Acquisition Regulation Supplement (NMCARS) Annex 22?
2. Is it a commercial service or non-commercial? Will another Category Management tiered solution be used?
3. Is this a follow-on procurement? Are the contract numbers provided?
4. If this is a follow-on, is the incumbent or incumbents available in SeaPort?

5. Were they large or small businesses?
6. Was there a previous SeaPort waiver?
7. Review Electronic Data Access (EDA) or SAM.gov: How many orders were placed under the previous Multiple Award Contract (MAC)?
8. Did the orders include options? Surge Contract Line Item Numbers (CLINs)?
9. Review EDA and SAM.gov: How many of the previous orders were Firm-Fixed-Price versus Cost type?
10. If this new contract, will it result in a single award or multiple award?
11. If SeaPort will not support the requirement because of socio-economic programs or other reason, is there any other tiered contract solution that would meet the mission needs?

Small Business Considerations

The DON's CMPO collaborates with the DON's Office of Small Business Programs (OSBP) in actively supporting the Secretary of the Navy's objective to "identify and develop small business concerns that support the Navy-Marine Corps force for tomorrow" through outreach, training and counseling. In accordance with the OMB's Policy Memorandum M-22-03, "Advancing Equity in Federal Procurement," dated 2 December 2021, DASN(P) and DON CMPO are taking the following actions to implement the objectives of this Memo:

- DASN(P) works with the DON OSBP and other small business staffs across the DON enterprise, leveraging Category Management stewardship practices to promote contracting opportunities for small businesses, small disadvantaged businesses, and other socioeconomic small businesses.
- The DON CMPO works to expand small business opportunities and lessen potential impacts to the DON small business industrial base while fulfilling specific Category Management objectives. The DON CMPO summarizes and reports on these efforts to DASN(P) and the DON OSBP each fiscal year.
- The DON CMPO proactively assesses DON HCA small business performance within the ten Federal categories that encompass Federal common spend.
- The DON CMPO analyzes HCA portfolio data and works in coordination with HCA contracting and small business staff. This is done in order to:
 - Assess and propose Spend Under Management strategies that may lead to tier requests that protect small businesses from further consolidation;
 - Reassess Category Management-tiered contract vehicles (other than those that are already small business set-aside) set to expire and look for opportunities to break the tiered vehicle into multiple-tiered, small business set-aside contract vehicles.

APPENDICES

1. Fiscal Year 2024 Procurement Performance Management Assessment Program (PPMAP) Self-Assessment Questions for all Contracting Activities
2. Fiscal Year 2024 Services Acquisition Review and Training (SART) Program Self-Assessment Questions for all Requirement Activities
3. Fiscal Year 2024 Naval Inspector General (NAVINSGEN) Self-Assessment Questions for all Requirement Activities
4. Independent Management Reviews (IMRs), Sample Slides

APPENDIX 1

Fiscal Year 2024 Procurement Performance Management Assessment Program (PPMAP)

Self-Assessment Questions for all Contracting Activities

Please respond to the following questions related to your upcoming PPMAP. Commands should respond to all questions, based on their functional responsibilities as contracting activities. All responses shall include sufficient details with respect to applicability of responses to lower echelon commands.

Name of Contracting Activity:

Point of Contact for these responses (Name/email address/phone number):

Services Acquisition:

1. Outline how Services Requirements Review Board (SRRB) approvals are clearly annotated on financial documents or electronic processes (to ensure end-users indicate SRRB, SRRB-Equivalent or In-Lieu of Board approvals to support services contract validation).
2. In reference to paragraph 4.7 of the DODI 5000.74, what steps are your organization taking to notify PMs/CORs/Technical Monitors/requiring activities of reporting requirements for bridge contract usage?
3. The Office of Management and Budget (OMB) memorandum, "Category Management: Making Smarter Use of Common Contract Solutions and Practices" (M-19-13), dated March 20, 2019, reiterated the requirement for all federal agencies to implement Category Management (CM). How has your organization implemented CM, to include demand and vendor management strategies to identify opportunities for making better procurement decisions and for eliminating inefficient purchasing and consumption behaviors? Identify efforts underway to increase your organization's Spend Under Management (SUM).
4. The Office of Management and Budget (OMB) memorandum, "Advancing Equity in Federal Procurement" (M-22-03), dated December 2, 2021 revised OMB memorandum, "Category Management: Making Smarter Use of Common Contract Solutions and Practices" (M-19-13-1), to align category management with Executive Order 13985 to increase contract awards to socio-economic small businesses and to advance equity in Federal procurement. How has your organization implemented the memorandum's directives of using contracting to support both category management and small businesses goals?
5. How is Contractual Services and Category Management data tracked, and what is reported to your senior leadership (e.g., Contractual Services obligations, SRRB outcomes, Spend Under Management, bridge contracts, etc.)? What kind of Contractual Services and Category Management data is important to your organization?
6. NMCARS 5237.102 introduced mandatory consideration for using SeaPort for specific functional areas. How has your organization integrated this mandatory consideration into your market research and acquisition planning process? Please note DASN (P) may request supporting documentation to justify why SeaPort was not used for identified contract awards outside of SeaPort that appear to fit within the functional areas noted in NMCARS Annex 22.
7. How does your command or activity ensure Service Acquisition Workshops (SAWs) are completed prior to acquisition document approval? If the requiring activity requests a SAW waiver, what is your criteria for recommending approval of the waiver?

8. Are there any particular issues, challenges, lessons learned, opportunities, or best practices regarding contractual services and/or category management you would like to bring to the attention of senior leadership?

Training/General:

1. Have you had an opportunity to advise or train your workforce on either services acquisition or the principles of Category Management (CM)? Have you contacted the DON Category Management Program Office (CMPO) to provide your organization with CM training or procurement analysis support to gain visibility into contracts and spending patterns?
2. Please advise if you would like the DASN (P) Services Acquisition and Category Management Team to provide virtual or in-person training to your workforce on any area related to Services Acquisition or Category Management.

APPENDIX 2

Fiscal Year (FY) 2024 Services Acquisition Review and Training (SART) Program

Self-Assessment Questions for all Requirement Activities

Please respond to the following questions related to your upcoming SART program visit. Commands should respond to all questions, based on their functional responsibilities as a requirement activity. All responses shall include sufficient details with respect to applicability of responses to lower echelon commands.

Name of Requirement Activity:

Point of Contact for these responses (Name/email address/phone number):

Services Acquisition:

1. How have you integrated your Services Requirements Review Boards (SRRBs) into your procurement process? Please provide the most current version of your Contractual Services/SRRB instruction and/or operating procedures. Discuss any processes or procedures you have implemented pertaining to SRRBs or managing your Services Acquisition (SA) portfolio that have resulted in successful outcomes or added value to the program.
2. How are SRRB-Equivalent or In-Lieu of Board approvals indicated in your SRRB reporting?
3. What would improve the SRRB process or management of your SA portfolio? What are the top challenges in the SRRB process or management of your SA portfolio?
4. Outline processes in place or planned with respect to SRRB and SRRB-equivalent approval documentation. How does SRRB and SRRB-equivalent approval documentation include the mandatory certification statement by the Board Chair in accordance with the DON Senior Services Manager policy memorandum, "Additional Department of the Navy Implementation Guidance for Defense Acquisition of Service," dated 30 September 2022 or successor?
5. In reference to paragraph 4.7 of the DODI 5000.74, what steps are your organization taking to notify PMs/CORs/Technical Monitors/requiring activities of reporting requirements for bridge contract usage?
6. The Office of Management and Budget (OMB) memorandum, "Category Management: Making Smarter Use of Common Contract Solutions and Practices" (M-19-13), dated March 20, 2019, reiterated the requirement for all federal agencies to implement Category Management (CM). How has your organization implemented CM to include demand and vendor management strategies to identify opportunities for making better procurement decisions and eliminating inefficient purchasing and consumption behaviors? Identify efforts underway to increase your organization's Spend Under Management (SUM).

7. The Office of Management and Budget (OMB) memorandum, “Advancing Equity in Federal Procurement” (M-22-03), dated December 2, 2021 revised OMB memorandum, “Category Management: Making Smarter Use of Common Contract Solutions and Practices” (M-19-13-1), to align category management with Executive Order 13985 to increase contract awards to socio-economic small businesses and to advance equity in Federal procurement. How has your organization implemented the memorandum’s directives of using contracting to support both category management and small businesses goals?
8. How is Contractual Services and Category Management data tracked, and what is reported to your senior leadership (e.g., Contractual Services obligations, SRRB outcomes, Spend Under Management, bridge contracts, etc.)? What kind of Contractual Services and Category Management data is important to your organization?
9. NMCARS 5237.102 requires mandatory consideration for using SeaPort for specific functional areas. How has your organization integrated this mandatory consideration into your market research and acquisition planning process?
10. How does your command or activity ensure Service Acquisition Workshops (SAWs) are completed prior to acquisition document approval? If the requiring activity requests a SAW waiver, what is your criteria for recommending approval of the waiver?
11. Are there any particular issues, challenges, lessons learned, opportunities, or best practices regarding contractual services management and/or category management you would like to bring to the attention of senior leadership?

Training/General:

1. How do you identify, track, and manage Contracting Officer’s Representatives (CORs) and their training needs?
2. Other than what is required by Department of Defense Instruction (DoDI) 5000.72, “DoD Standard for COR Certification,” do you provide or encourage any additional training or instruction for CORs and multifunctional team members?
3. How does your organization assist with SRRB workforce analysis? What steps are presented by end-users to support decisions to insource or outsource and why the requirement is filled by contractors?
4. Describe if you have had an opportunity to advise or train your workforce on either services acquisition or the principles of Category Management (CM). Have you contacted the DON Category Management Program Office (CMPO) to provide your organization with CM training or procurement analysis support to gain visibility into contracts and spending patterns?
5. Please advise if you would like the DASN (P) Services Acquisition Team to provide virtual or in-person training to your workforce on any area related to Services Acquisition or Category Management.

APPENDIX 3

Fiscal Year 2024 Office of the Naval Inspector General (NAVINSGEN) Command Inspection Self-Assessment Questions

Contract Management Services Acquisition Inspection Checklist

References:

- (a) Office of Management and Budget (OMB) Memo, "Category Management: Making Smarter Use of Common Contract Solutions and Practices" (M-19-13), 20 March 2019
- (b) Office of Management and Budget (OMB) Memo, "Advancing Equity in Federal Procurement" (M-22-03), 2 December 2021
- (c) DODI 5000.74, Change 1, "Defense Acquisition of Services," 24 June 2021
- (d) SECNAVINST 5000.2G, Enclosure 8, "Defense Acquisition of Services," 8 April 2022
- (e) DON Senior Services Manager Memorandum, "Additional Department of the Navy Implementation Guidance for Defense Acquisition of Services," 30 September 2022
- (f) NMCARS 5237, "Services Contracting"

Questions:

Part I: Program Administration

1. Has the Services Requirements Review Board (SRRB) process been integrated into your organization's acquisition process? How so? Please provide the most current version of your Contractual Services/SRRB instruction and/or operating procedures.
(Significant Element)
Ref (c) Subsection 4.3 and Ref (d) Section 4
2. Are SRRB-Equivalent or In-Lieu of Board approvals contained in your SRRB reporting? How so?
(Significant Element)
Ref (d) Section 4, paragraphs d-f
3. Do you have processes in place or planned with respect to SRRB and SRRB-equivalent approval documentation? How will SRRB and SRRB-equivalent approval documentation include the mandatory certification statement by the Board Chair IAW the DON Senior Services Manager policy memorandum, "Additional Department of the Navy Implementation Guidance for Defense Acquisition of Service," dated 30 September 2022 or successor?
(Significant Element)
Ref (e) page 2, First Bullet
4. IAW section 4.7 of the DODI 5000.74, do you have processes in place to notify PMs/CORs/Technical Monitors/requiring activities of reporting requirements for bridge contract usage? Please describe the steps.
(Significant Element)
Ref (c) Subsection 4.7.a; Ref (d) Section 6

5. Has your command or activity implemented demand and vendor management strategies to identify opportunities for making better procurement decisions and eliminate inefficient purchasing and consumption behaviors (i.e., implemented Category Management (CM))? Elaborate.
(Significant Element)
Ref (a) Page 3; Ref (d) Section 10
6. The Office of Management and Budget (OMB) memorandum, “Advancing Equity in Federal Procurement” (M-22-03), dated December 2, 2021 revised OMB Policy Memorandum, “Category Management: Making Smarter Use of Common Contract Solutions and Practices” (M-19-13-1), to align category management with Executive Order 13985 to increase contract awards to socio-economic small businesses and to advance equity in Federal procurement. Has your organization implemented the memorandum’s directives of using contracting to support both category management and small businesses goals? How so?
(Significant Element)
Ref (b) Page 2, Paragraph 2
7. Is Contractual Services and Category Management data tracked? How is it reported to your senior leadership (e.g., Contractual Services obligations, SRRB outcomes, Spend Under Management, bridge contracts, etc.)? What kind of Contractual Services and Category Management data is important to your organization?
(Significant Element)
Ref (a) Sec 3.2.b.(6), Sec 3.4.(f), Sec 4.3(a); Ref (b) Sec 4, Sec 10; Ref (d) Page 2 & Page 11; Ref (e) Page 5
8. NMCARS 5237.102 requires mandatory consideration for using SeaPort for specific functional areas. Has your organization integrated this mandatory consideration into your market research and acquisition planning process? How so?
Ref (f) NMCARS 5237.192
9. Does your command or activity ensure Service Acquisition Workshops (SAWs) are completed prior to acquisition document approval? How so? If your activity requests a SAW waiver, what is your criteria for recommending approval of the waiver?
(Significant Element)
Ref (c) Para 4.2d and 4.2(d)(3); Ref (d) Section 5, Ref (f) NMCARS 5237.192
10. Does your organization assist with SRRB workforce analysis? What steps are presented by end-users to support decisions to insource or outsource and why the requirement is filled by contractors?
(Non-Significant Element)
Ref (a) Sec 4.3.g.(4)
11. Have you had an opportunity to advise or train your workforce on either services acquisition or the principles of Category Management (CM)? Have you contacted the DON Category Management Program Office (CMPO) to provide your organization with CM training or procurement analysis support to gain visibility into contracts and spending patterns??
(Significant Element)
Ref (b) Subsection 4.3.g.(4)

Part II: Feedback to Program/Policy Management

1. What are your top challenges in the Services Requirements Review Board (SRRB) process or in the management of your Services Acquisition portfolio?
2. Do you have any particular issues, challenges, lessons learned, opportunities, or best practices regarding services acquisition and/or category management you would like to bring to the attention of senior leadership? If so, what are they?

Appendix 4

Independent Management Reviews (IMRs) Scrubbed Sample Slides



EXAMPLE - for Illustrative Purposes Only

Department of the Navy
Services Acquisition

INDEPENDENT MANAGEMENT REVIEW:
Contract Number

Presenter's Name
Organization
Date



Current POCs
Contract Number

▪ Service Requirements Review Board (SRRB) Approval Authority ▪ Name/Org/Contact Info	▪ Procuring Contracting Officer (PCO) ▪ Name/Org/Contact Info
▪ Program Manager/Functional Services Manager (PM/FSM) ▪ Name/Org/Contact Info	▪ Administrative Contracting Officer (ACO) ▪ Name/Org/Contact Info
▪ Contracting Officer's Representative (COR) ▪ Name/Org/Contact Info	



Overview Contract Number

Scope of Work

Programs Supported: ORGANIZATION NAME and Other Customers

Scope of Work: Program Management, Business and Financial Management, Technical and Engineering, and Integrated Logistics Support Services. Separate CLINs Established to Accommodate FMS/International Programs, "Other Customers" and "Surge" Tasking

Product Service Code (PSC) / Object Class Code (OCC):
PSC R408 / OCC 231

Status

CONTRACT NUMBER

- Contract Award/End Date: START DATE / END DATE
- Current Option: PERIOD NUMBER
- Contract Type: CPFF/CPFF/CPFF
 - Prime Contractor: CONTRACTOR NAME
 - Number of Subcontractors: 53 (includes consultants)
 - Pass Thru Rate (%): 6.8% CORE CLINs, 5.8% OCF/Surge CLINs
 - Profit Rate (%): 6% CORE CLINs, 5% OCF/Surge CLINs
- Recompete:
 - One SBBSA award in FY19 under protest
 - One SBBSA planned for FY21 award
 - Two Full & Open competitions planned for FY21 & FY22 award

Funds

	FY20	FY21	FY22	FY23	FY24	
To Be Funded /Appn	\$4M OMN, ROT&E OPN, SCN, FMS ACP	\$2M OMN, ROT&E OPN, SCN, FMS ACP	\$2M OMN, ROT&E OPN, SCN, FMS ACP	\$3M OMN, ROT&E OPN, SCN, FMS ACP	\$3M OMN, ROT&E OPN, SCN, FMS ACP	
CPARS	Quality	Sched	Cost Ctrl	Mgmt	SB Sub PerL	
START DATE - END DATE	Very Good	Very Good	Very Good	Very Good	Very Good	

- Estimated FY FTE/Avg FTE Rate: 172 /\$1M
- Total Contract Value: \$527.5M * differs in subtotals of total due to rounding
- Contract Ceiling Remaining: \$323.5M
 - Contract Obligations Date: \$303.5M (As of Mod B3) Labor: \$254.5M ODC: \$49.1M (5%)

Issues/Risks/Opportunities

CPARS - currently w/cdr for acceptance, next period 6/19-6/20 draft initiated

Additional Considerations:

Issues & Risks: If all four follow-on contract awards are not in place by April 2022, the need for Bridge Contracts will be required to avoid a gap in coverage.

Government Cost Estimate: Follow-on contract ISCEs are based on historical information from the predecessor task orders, adjusted for projected workload, and documented in each of the 4 ISTRAPs based on the supported program office requirements.

Opportunities: Through strategic planning and solid market research the follow on task orders will minimize Small Business involvement through 2 SBBSA awards and use of Small Business Participation requirements.

3



Significant Modifications Contract Number

- Modification XX dated DATE transferring Task Order authority from HQ to DIV.
- Modification XX dated DATE adds subcontract SUBCONTRACTOR NAME.
 - *as an example; there are multiple Subcontract add modifications to this Task Order since its inception
- Modification XX dated DATE extended the Task Order POP end/ultimate completion date to END DATE.

4



Performance History

Contract Number

- Contractor consistently met (contract requirements): All contract requirements with the latest CPARS ratings indicating ratings of Very Good across the board as indicated on slide 3.
- Contractor did not meet: Not applicable
- CDR(s) issued on <date> for failure to meet: Not applicable.

5



Follow-On Acquisition Milestones

Contract Name/Title

Milestone*	Projected Date	Actual Date
STRAP	DATE	N/A
RFP Issuance	DATE**	N/A
Contract Award	DATE	N/A
Contract Start	DATE	N/A

*Since there are multiple follow-on requirements due to restructuring of the follow-on strategy the above table shows the dates for the final requirement being processed.

** Contracts, program office, and legal are working the RFP package concurrent with ISTRAP routing through DASN.

6



Lessons Learned/Best Practices

Contract Number

- CPIF does not add sufficient value on LOE task orders to offset the admin burden given the labor mix is largely dependent on the complexity of tasking clarified in the Technical Instruction (TI).
- Transition to a CPFF LOE CLIN structure only has allowed for greater labor mix flexibility to support requirements and ensures a sensible and equitable allocation of risk between the Government and Contractor given the amount of flexibility.
- The use of a well written TI is critical to ensuring strong communications and a meeting of the minds with the contractor for CPFF LOE efforts and benefits post award administration to a great degree when linked to priced SLINs.

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ACRONYMS

ACE	Acquisition Center of Excellence
AOA	Analysis of Alternatives
ARRT	Acquisition Requirements Roadmap Tool
BSO	Budget Submitting Office
CALC	Contract-Awarded Labor Category
CAR	Corrective Action Report
CHESS	Computer Hardware, Enterprise Software and Solutions
CLIN	Contract Line Item Number
CM	Category Management
COR	Contracting Officer's Representative
CPI^(O&I)	Continuous Product Improvement
CPRG	Consumer Price Reference Guide
CS	Contractual Services
CSM	Contractual Services Manager
CSWG	Contractual Services Working Group
D&F	Determination and Findings
D2D	Data-to-Decision
DASN(P)	Deputy Assistant Secretary of the Navy for Procurement
DAU	Defense Acquisition University
DAWIA	Defense Acquisition Workforce Improvement Act
DISA	Defense Information Systems Agency
DoD	Department of Defense
DoDI	Department of Defense Instruction
DON	Department of the Navy
DPC	Defense Pricing and Contracting
DRPM	Direct Reporting Program Manager
EDA	Electronic Data Access
ESI	Enterprise Software Initiative
ESL	Enterprise Software Licenses
FAR	Federal Acquisition Regulation
FFP	Firm-Fixed-Price
FM	Financial Manager
FPDS	Federal Procurement Data System
FSM	Functional Services Manager
FTE	Full-Time Equivalent
FY	Fiscal Year
GSA	General Services Administration
HCA	Head of Contracting Activity
IAW	In Accordance With
IGCE	Independent Government Cost Estimate
IDIQ	Indefinite Delivery Indefinite Quantity
MAC	Multiple Award Contract
MACC	Multiple Award Construction Contract
MFT	Multifunctional Team
MILCON	Military Construction
MOPAS	Management and Oversight Process for the Acquisition of Services

NAICS	North American Industry Classification System
NASA	National Aeronautics and Space Administration
NAVAIR	Naval Air Systems Command
NAVFAC	Naval Facilities Engineering Command
NAVINGEN	Naval Inspector General
NAVWAR	Naval Information Warfare Systems Command
NETCENTS	Network Centric Solutions
NIH	National Institute of Health
NITAAC	National Institute of Health Information Technology Acquisition and Assessment Center
NMCARS	Navy Marine Corps Acquisition Regulation Supplement
OASIS	One Acquisition Solution for Integrated Services
OCC	Object Class Code
OMB	Office of Management and Budget
OSBP	Office of Small Business Programs
PEO	Program Executive Office
PM	Program Manager
PPMAP	Procurement Performance Management Assessment Program
PRS	Performance Requirements Summary
PSC	Product and Service Code
PWS	Performance Work Statement
RIE	Rapid Improvement Event
QASP	Quality Assurance Surveillance Plan
SA	Services Acquisition
SAM	Services Acquisition Mall; Also, System for Award Management
SART	Services Acquisition Review and Training
SAW	Services Acquisition Workshop
SB	Small Business
SBA	Small Business Administration
SDB	Small Disadvantage Business
SEWP	Solution for Enterprise-Wide Procurement
SUM	Spend Under Management
SRRB	Services Requirements Review Board
STRAP	Streamlined Acquisition Plan